17

BLESSED GEBREMICHEAL SECONDARY SCHOOL
MID EXAM FOR GRADE 10 STUDENTS

Exam name: - Economics **Time allowed: - 25 minutes**
Max weight: - 20% **Target student: Grade-10**
Name: - Bizuayu Wondimagegnhu **no-** 12 **section:** B

Part I: - Choose the best one among the alternatives (1.5 marks)

C 1. Which of the following is not a source of economic growth?
   A. Increase in labor force
   B. Technological advancement
   C. Decrease in productivity
   D. Capital accumulation

C 2. GDP per capita is often criticized because:
   A. It measures productivity accurately
   B. It includes non-market activities
   C. It ignores income distribution
   D. It reflects environmental sustainability

C 3. Which phase of the business cycle is characterized by rising output, employment, and income?
   A. Recession
   B. Depression
   C. Recovery
   D. Boom

B 4. Real GDP differs from nominal GDP because:
   A. Real GDP is measured at current prices
   B. Real GDP adjusts for inflation
   C. Nominal GDP excludes services
   D. Nominal GDP measures productivity

B 5. Suppose Ethiopia invests heavily in infrastructure but experiences declining productivity. Which source of growth is missing?
   A. Capital accumulation
   B. Human capital development
   C. Technological progress
   D. Natural resource exploitation

B 6. During the contraction phase of the business cycle, which indicator is most likely to rise?
   A. Employment
   B. Unemployment
   C. Consumer spending
   D. Investment

Part II: - Say True if the statement is correct and say False otherwise (1 mark)

1. GDP per capita is a perfect measure of living standards. ~~false~~ True
2. The business cycle reflects short-term fluctuations around a long-term growth trend. ~~True~~ false
3. A country with high GDP per capita always has high living standards. True
4. Economic growth is measured only by the increase in nominal GDP. false
5. GDP deflator can be used to measure inflation of a nation. True

Part III: - Matching (1 mark)

A		B
E	1. Business cycle	A. Improves labor productivity and innovation capacity
D	2. GDP per capita	B. Increases output but may face diminishing returns
C	3. Technological innovation	C. Drives long-term productivity growth
B	4. Capital accumulation	D. May hide inequality and poverty levels
A	5. Human capital investment	E. Explains fluctuations around trend growth

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Part IV: - give short answer for the following question

1. Differentiate Real GDP vs Nominal GDP? **(2 marks)**
2. List sources of economic growth? **(2 marks)**

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Answer sheet

1	2	3	4	5	6
C	C	C	B	B	B

1	2	3	4	5
True	false	True	false	True

1	2	3	4	5
E	D	C	B	A

1, Real GDP is calculating the GDP using the Base year price.
- Real GDP shows real economic growth bic if Real GDP rises that the production of good & services has increased while Nominal GDP calculates using the current price it doesn't really show economic growth and it is influenced by Inflation

2,- an increasment of quality or quantity of factor of production (labor, technology)
- advancement of technology.
- Increasing in productivity
- minimizing unemployment